GOVERNMENT OF KHYBER PAKHTUNKHWA
PLANNING & DEVELOPMENT DEPARTMENT

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SUMMARY FOR THE CHIEF MINISTER

Subject **MINUTES OF THE 11TH PUBLIC-PRIVATE PARTNERSHIP COMMITTEE MEETING FOR APPROVAL OF PESHAWAR- D. I. KHAN MOTORWAY FEASIBILITY STUDY UNDER SEGMENTAL ANALYSIS APPORACH**

The 11th meeting of the Public-Private Partnership (PPP) Committee was held on April 23, 2026 under the chairmanship of the Honorable Chief Minister, Khyber Pakhtunkhwa, to deliberate upon the Peshawar–D.I. Khan Motorway Project under a segmental PPP structuring approach.

2. The forum was informed that the project had initially been undertaken under the PPP mode in compliance with earlier directions of the Honorable Chief Minister, and that the procurement process had resulted in a single pre-qualified bidder, i.e., M/s FWO. However, in order to improve financial viability and enhance market interest, a detailed segment-wise feasibility and structuring analysis was conducted.

3. During the presentation, it was highlighted that the estimated cost of the project ranges between PKR 263 billion and PKR 536 billion, depending on technical configurations. The analysis further revealed that a standalone BOT (toll-based) model is not financially viable under any configuration, while PPP implementation is feasible only for selected high-traffic segments, particularly segments 1, 7, and 8. The remaining segments were found to be financially unviable under PPP and would require substantial government support, including Viability Gap Funding (VGF) and alternative financing mechanisms.

4. The Committee, after detailed deliberations, observed that the overall project lacks full bankability under a single PPP structure and, therefore, requires a phased and segmented implementation approach. It was emphasized that such an approach would help prioritize viable segments for PPP execution while allowing non-viable segments to be undertaken through public financing or donor support, thereby ensuring timely implementation and reducing fiscal risk exposure.

5. Accordingly, the PPP Committee unanimously decided that all eight segments of the project shall be offered separately under a competitive PPP bidding process on a fast-track basis. It was further decided that, based on market response, financially viable segments would be executed under PPP (with VGF where required), while non-viable segments would be pursued through financing from International Financial Institutions (IFIs) or through the Annual Development Program (ADP). The Committee also directed that the ongoing PPP procurement process with M/s FWO be annulled with immediate effect and that Pakhtunkhwa Highways Authority (PKHA) shall undertake roadshows and market sounding to attract private sector participation.

6. In the light of the above, the honorable Chief Minister is requested to approve minutes of the PPP Committee meeting at "**Annex I**, please.

Annex I

Subject: **Minutes of the 11th meeting of the Public-Private Partnership Committee**

Sub-Head: **Approval of Peshawar- D. I. Khan Motorway feasibility study under segmental analysis apporach**

The subject meeting of the PPP Committee was held under the Chairmanship of the Honorable Chief Minister Khyber Pakhtunkhwa on April 23rd, 2026 at 1400 hours at the Chief Minister Secretariat, with the virtual participation of the following members;

S. No	Name	Designation
1	Muzzamil Aslam	Advisor to Honorable Chief Minister for Finance
2	Aftab Alam	Minister Law, Parliamentary Affairs and Human Rights Department
3	Shahab Ali Shah	Chief Secretary, Government of Khyber Pakhtunkhwa
4	Islam Zeb	Additional Chief Secretary (Development), P&D Department
5	Adeel Shah	Secretary P&D Department (Secretary-cum-member)
6	Zia Ul Haq	Secretary C&W Department
7	Sultan Ameer Tareen	Principal Secretary to Honourable Chief Minister
8	Adil Saeed Safi	Special Secretary (Admin), Chief Minister Secretariat
9	Dr. Ehtisham Ul Haq	Chief, PPP Support Unit, Planning & Development Department
10	Engr. Zahid Arif	Ex-Secretary C&W (Sectoral Expert)
11	Engr. Ahmad Nabi Sultan	Ex-Managing Director, PKHA (Sectoral Expert)
12	Qurat Ul Ain	Ex-EC Sarhad Chamber of Commerce (Private Member)
13	Sohail Idress	MD PKHA
14	Ozair Rahim	Assistant Chief, PPP Section, P&D Department
15	Jalal Ahmad	Research Officer, PPP Support Unit, P&D Department
16	Muhammad Afnan Raza	Research Officer, PPP Support Unit, P&D Department
17	Tahir Hassan	Research Officer, PPP Support Unit, P&D Department
18	Maria Bibi	Research Officer, PPP Support Unit, P&D Department

The meeting started with a recitation of the Holy Quran. The Chair welcomed all the participants and invited the Project Director (PD) to present the project. The presentation, supported by the Transaction Advisor (TA) team and MD PKHA, covered project scope, structuring options, and financing strategy as per the segmental analysis approach.

1	Approval of Peshawar- D. I. Khan Motorway feasibility study under segmental analysis apporach

Background of the project

The Project Director informed the forum that in compliance with the directions of the Honourable Chief Minister, Khyber Pakhtunkhwa, conveyed during the meeting held on March 11, 2024, the procurement of the project under PPP Mode was initiated. In response, a single bidder (M/S FWO) participated and was subsequently pre-qualified and was still under consideration. Moreover, it was decided by the competent authority to conduct a segment-wise analysis of the project to improve project viability and increase market participation. Furthermore, Project Director provided the forum an overview of project scope, segmentation, and financial considerations.

The presentation highlighted a proposal for 360 km corridor, structured into 8 segments, with technical configurations ranging from 4-lane to 6-lane, including options with and without tunnels. Various PPP models were assessed at project and Segmental levels, including BOT (Toll), BOT with VGF, and annuity-based structures, based on different financial assumptions.

Regarding the cost, the forum was briefed that it shall range between PKR 263 billion and PKR 536 billion, depending on configuration. Traffic projections indicate significant variability across segments, affecting revenue potential and financial viability.

In addition, the forum was informed that standalone BOT (Toll) is not financially viable under any configuration, necessitating substantial Government support, including Viability Gap Funding (VGF) and alternative hybrid structuring mechanisms including project segmentation on the analogy of Sukkur-Hyderabad Motorway (M-6).

The forum was also informed regarding the recommendations of PPP Node and PPP Unit.

Recommendations of PPP Node:

Segmental approach for 4-Lane PPP/BOT with VGF for Sections 1, 7 & 8.

Start with section # 1, and gradually build/plan other sections on PPP, EPC+ F or EPC Modes through IFI loans or GOP financing.

Recommendations of PPP Unit:

Market sounding for segment – 1, 2, 7 & 8 be conducted for execution on the PPP Mode, and this may be presented as one single package or each of the segments may be separated into distinct packages.

The remaining segments (3,4,5 and 6) may be executed through EPC or donor funding.

DISCUSSION:

It was observed that PPP viability is highly segment-dependent, with only select high-traffic sections (Segments 1, 7 and 8) demonstrating sufficient potential to attract private sector participation, while the full corridor cannot be delivered under a pure PPP model due to weak overall bankability; even under a BOT + VGF structure. Moreover, the requirement for substantial capital subsidy places significant pressure on Government treasury.

Accordingly, a phased and segmented implementation approach is necessary to prioritize bankable sections while managing non-viable ones separately, ensuring an appropriate balance between achieving bankability and limiting fiscal risk exposure, alongside the development of a parallel fallback strategy to prevent implementation delays in case private sector interest remains limited.

The Honourable Minister Finance, Government of Khyber Pakhtunkhwa, deliberated on a range of financing options to enhance project bankability and ensure timely execution, including the potential assumption of debt responsibility through collateralization of Government deposits, aimed at strengthening creditworthiness and reducing lender risk exposure; in parallel, emphasis was placed on the mobilization of local commercial bank financing alongside engagement with International Financial Institutions (IFIs), supported by appropriate Government-backed risk mitigation instruments.

DECISIONS:

It was unanimously decided that PKHA shall immediately offer all eight segments as separate components under competitive PPP bidding process on a fast-track basis.

Based on the market response to segment-wise PPP bidding, a parallel fallback plan will be adopted. Each segment will be evaluated separately. Financially viable segments will proceed under PPP, including PPP with VGF where required. For non-viable segments, the P&D, Finance, and C&W Departments will simultaneously engage IFIs, including ADB, the World Bank, and others, to explore partial or full project financing. Alternatively, these segments may be proposed for inclusion in the Annual Development Programme (ADP) after evaluation of the market response.

It was further directed that the ongoing PPP procurement process of the project related to FWO shall be annulled with immediate effect.

		PKHA to conduct road show in parallel with procurement process from own sources to assess the market response and engage potential private partners.

The meeting concluded with a vote of thanks to and from the Chair.